

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/14/26 TIME: 1:30 P.M. DEPT: A CASE NO: CV0006430

PRESIDING: HON. STEPHEN P. FRECCERO

REPORTER:

CLERK: G. STRATFORD

PETITIONER: DEBORAH STEIN	
vs.	
DEFENDANT: HEADLANDS II OWNERS ASSOCIATION ET AL.	

NATURE OF PROCEEDINGS: MOTION – COMPEL

RULING

Defendants Joseph Aiello’s (“Aiello”) motion to compel arbitration is DENIED. (Code Civ. Proc., § 1281.2,¹ subd. (c).)

Allegations

Plaintiff Deborah Stein (“Plaintiff”) filed this action arising from alleged water intrusion from the unit at 282 Headlands Court into her unit at 242 Headlands Court, causing property damage and mold. On May 29, 2025, Plaintiff filed this action. On October 15, 2025, Plaintiff filed her operative Second Amended Complaint alleging claims for: 1) general negligence; and 2) breach of contract. Aiello was added as a Doe defendant on April 25, 2026. Multiple other defendants remain in the action.

Aiello now moves to compel arbitration and stay the entire pending litigation pursuant to Code of Civil Procedure section 1281.2. The motion is based on arbitration provisions in the Declaration of Covenants, Conditions and Restrictions (“CC&Rs”) of Defendant Headlands II Homeowners Association (“HOA”), recorded April 27, 2017.

Standard

A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by the agreement. (§ 1281.) A written agreement to submit future controversies to arbitration “is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (*Ibid.*) “On petition of a party to an arbitration agreement alleging

¹ All undesignated statutory references are to the Code of Civil Procedure.

the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines” that one of certain exceptions applies. (§ 1281.2.)

On a motion to compel arbitration, the moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. The burden then shifts to the resisting party to prove by a preponderance of the evidence a ground for denial (e.g., fraud, unconscionability, etc.). (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Hotels Nevada v. L.A. Pacific Center, Inc.* (2006) 144 Cal.App.4th 754, 758.)

Procedural Defect

Aiello’s notice of motion seeks “an Order to Compel Arbitration and stay the pending litigation,” which by its terms would affect all parties to this action. Section 1290.4 requires that notice be given to all parties who have appeared in the proceeding. Multiple other defendants have appeared in this action. However, Aiello served the motion only on Plaintiff’s counsel and not on any of the other defendants. The failure to serve all parties who would be affected by an order staying “the pending litigation” constitutes a procedural defect that would prejudice parties not given an opportunity to oppose a motion that purports to stay litigation against all defendants.

Merits

The arbitration provision upon which Aiello relies is found in Section 12.3(c)(2) of the CC&Rs and provides: “In the event of a dispute between Owners, affected Owners shall attempt to resolve any dispute by mediation... If mediation fails and the dispute continues, the parties shall proceed with binding arbitration administered by the American Arbitration Association.” By its plain terms, this provision applies only to disputes “between Owners.” The CC&Rs define “Owner” as “the owner of record in the chain of title, whether one or more Persons or entities, having a recorded fee simple title to or undivided fee interest in any Condominium.”

However, Aiello has submitted no evidence establishing that he qualifies as an “Owner” under this definition. The only evidence submitted in support of the motion is a three-paragraph declaration from Aiello’s counsel, attaching a copy of the CC&Rs. There is no evidence before the Court that Aiello holds recorded fee simple title to the unit at 282 Headlands Court. This evidentiary deficiency is fatal to the motion. Aiello cannot meet his threshold burden of proving a valid arbitration agreement applies to the parties when he has submitted no evidence that he is a party entitled to invoke the agreement.

Without proof that Aiello is an “Owner” as defined by the CC&Rs, he has not established his entitlement to invoke the arbitration clause in Section 12.3(c)(2). The motion is denied on this ground.

Defendant Joseph Aiello's Motion to Compel Arbitration is denied.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-gov.zoomgov.com/j/1605267272?pwd=908CbP6TV2mhCAyaiInzo6lyz2dKaw.1>

Meeting ID: 160 526 7272

Passcode: 026935

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court's website: <https://www.marin.courts.ca.gov>

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/14/26 TIME: 1:30 P.M. DEPT: A CASE NO: CV0007390

PRESIDING: HON. STEPHEN P. FRECCERO

REPORTER:

CLERK: G. STRATFORD

PETITIONER: WILLIS LEASE FINANCE
CORPORATION ET AL.

vs.

DEFENDANT: CHUBB EUROPEAN
GROUP SE ET AL.

NATURE OF PROCEEDINGS: MOTION – STAY DISCOVERY PENDING RESOLUTION
OF DECLARATORY JUDGMENT ACTION

RULING

The motion for partial stay filed by Fidelis Underwriting Limited, Liberty Corporate Capital Limited as sole corporate member of Syndicate 4472 at Lloyd’s for the 2021 year of account, Atrium Underwriters Limited for and on behalf of the 2021 underwriting members of Syndicate 609 at Lloyd’s, Chaucer Corporate Capital (No. 3) Ltd. (UK) as the sole corporate member of Syndicate 1084 at Lloyd’s for the 2021 year of account, and Lancashire Syndicates Limited for and on behalf of the participating 2021 underwriting members of Syndicate 3010 and Syndicate 2010 at Lloyd’s (collectively, the “Moving Defendants”), is **DENIED**.

Procedural Background

On August 20, 2025, the Moving Defendants filed an action against Willis Lease Finance Corporation (“WLFC”), titled *Fidelis Underwriting Limited, et al. v. Willis Lease Finance Corporation*, Case No. CV0007356 (the “Declaratory Judgment Action”), alleging that they and WLFC reached an oral agreement to resolve an insurance coverage dispute under a policy severally subscribed by the Moving Defendants to WLFC. The dispute arose out of WLFC’s claim for a 2022 loss of, or to, several aircraft engines located in Russia. The Moving Defendants seek declaratory relief and allege anticipatory breach of the oral agreement. No trial date has been set in the Declaratory Judgment Action, but the parties have recently stated in a joint case management conference statement that a trial in that case would be completed in two days.

Just a few weeks after the Declaratory Judgment Action was filed, on September 3, 2025, WLFC filed the instant action against the Moving Defendants as well as a number of other insurer defendants. WLFC alleges that the insurers are obligated to pay for the loss of three